		existing material fact. [¶] 2. The representation must have been untrue; [¶] 3. Regardless of his actual belief the defendant must have made the representation *without any reasonable ground for believing it to be true;* [¶] 4. The representation must have been made with the intent to induce plaintiff to rely upon it; [¶] 5. The plaintiff must have been unaware of the falsity of the representation; he must have acted in reliance upon the truth of the representation and he must have been justified in relying upon the representation. [¶] 6. And, finally, as a result of his reliance upon the truth of the representation, the plaintiff must have sustained damage." (*Continental Airlines, Inc. v. McDonnell Douglas Corp.* (1989) 216 Cal.App.3d 388, 402 [emphasis in original]). A cause of action for negligent misrepresentation is "sound in fraud and, therefore, each element must be pleaded with specificity." (*Daniels v. Select Portfolio Servicing, Inc.* (2016) 246 Cal.App.4th 1150, 1166, overruled on other grounds, *Sheen v. Wells Fargo Bank, N.A*. (2022) 12 Cal.5th 905, 919-920, 948, fn.12.) Defendants contend that Plaintiff failed to plead these claims with the requisite specificity, and contend that Plaintiff cannot allege justifiable reliance, because Plaintiff had ample opportunity to verify the very facts it now claims were concealed or misstated. Specifically, Plaintiff alleges that it had 21 days to conduct due diligence, was permitted to visit the business at the end of each business day for three weeks before purchasing, and personally observed the daily on-site cash collections. The court finds that Plaintiff adequately plead all four claims for fraud. With regards to the fraudulent and negligent misrepresentation claims, Plaintiff adequately plead that in September of 2024, Defendant Matsuki provided the Plaintiff with the business's monthly expense information, that Plaintiff relied on when making an offer. (Compl., ¶ 13). In November of 2024, Defendant Anthony Perkins discussed the monthly operating and payroll expenses, as well as profitability based on the reported revenue and expenses. (Compl., ¶ 14). In the three weeks following the signed amended agreement on January 10, 2025, Plaintiff would observe Anthony Perkins removing bills and coins from two coin change machines and replenishing their contents, but he did not disclose to the Plaintiff the existence of the compartment containing $5 bills within the larger change machine intentionally hidden from Plaintiff. The due diligence documentation provided by the Defendant also omitted any reference to costs associated with replenishing the $5 bill compartment. (Compl., ¶ 18). Furthermore, Plaintiff alleged that Defendants reported the full $20 as revenue but deliberately failed to account for the approximate $10 that was removed from the location. (Compl., ¶ 21). Plaintiff alleges that it incurred damages, which include, but are not limited to, the disparity between the purchase price and the actual value of the business, lost profits, and additional consequential damages resulting from the Defendants' conduct. (Compl., ¶ 27). Accordingly, Plaintiff has alleged the "who" (Anthony Perkis and Matsuki Perkins), the "where" (in the advertisement and at the business location), the "how" and the "means" (through the advertisement, the reports, and the concealment of the hidden compartment), the "when" (September and November of 2024, and the three weeks following the agreement) and to whom (to Mr. Lad and Mr. Desai).

		Regarding the justifiable reliance argument, Plaintiff did not plead that Mr. Lad and Mr. Desai had unfettered access to the business during the inspection period. Rather, Plaintiff alleged that its representatives were only allowed to come at the end of each business day after obtaining prior approval from Mr. Perkins, and that Mr. Perkins would collect from the machines and hid the compartment from Plaintiff. There is no indication in the complaint that Plaintiff's representatives had unfettered access to the machines prior to closing. The court finds that Plaintiff alleged justifiable reliance. (See Compl., ¶ 26). With regards to Plaintiff's concealment cause of action, Plaintiff also alleged that Mr. Perkins concealed the hidden compartment and the additional expense, and that both Mr. Perkins and Ms. Perkins concealed the accurate expenses and financial performance. (Compl., ¶ 38). Finally, with regards to fraudulent inducement, Plaintiff also alleged that Defendants made various representations regarding the Business's financial performance, condition, and other material information that Plaintiff relied on when agreeing to purchase the Business for $665,000.00, and that Defendants concealed the hidden compartment and its expense when making these representations. (Compl., ¶ 42). Accordingly, the court overrules the demurrer as to these causes of action. <u>Breach of contract</u> In order to state a cause of action for breach of contract, a Plaintiff must plead as follows: (1) the existence of the contract, (2) plaintiffs' performance or excuse for nonperformance, (3) defendant's breach, and (4) the resulting damages to the plaintiff. (*Oasis West Realty, LLC v. Goldman* (2011) 51 Cal.4th 811, 821). Plaintiff has plead the existence of a contract with Senoa. (Compl., ¶ 33, Ex. A). The contract, which is titled a "Purchase Agreement for the Sale of Sparkle Coin Laundry", provides: "Due Diligence. From the date of the execution hereof until twenty-one (21) business days thereafter ("Due Diligence Period"), the Seller will, and will cause the Seller to, provide Buyer or her representative reasonable access to the Premises to inspect the HVAC, plumbing/utilities, equipment, condition of the premise, books, and records. Buyer herein acknowledges they have already had access to the books and records of the Seller. Upon execution of this Agreement, Buyer shall provide Seller with a list of documents necessary for review, such as a copy of the current lease/rental agreement and utility bills (water, gas, electricity, etc.) documentation deemed necessary by Buyer. Due to the nature of a coin/cash business operation, Seller shall allow Buyer to witness coin/cash collection at various periods to understand the financial health of the Coin Laundry Business based upon Seller claims. Notwithstanding anything to the contrary contained herein, such access and inspections shall not materially interfere with the operations of the Seller. (Compl., Ex. A)."